Land

Land as a factor of production refers to all those natural resources or gifts of nature which is provided freely to man. It includes within itself several things such as land surface, air, water, minerals, forests, rivers, lakes, seas, mountains, climate, and weather. Thus, land includes all things that are not made by man.



Land

Land can take on various forms, on the basis of resources available from a particular piece of Land. For example agricultural land when it is cultivated. Commercial land when it is sold.

Characteristics of Land

1. Land is a Free Gift of Nature

Man has to make efforts in order to acquire other factors of production. But to acquire land no human efforts are needed. Land is not the outcome of human labour. Rather, it existed even long before the evolution of man.

2. Land is fixed in supply

The total quantity of land does not undergo any change. It is limited and cannot be increased or decreased with human efforts. No alteration can be made in the surface area of land.

3. Land is imperishable

All man-made things are perishable and these may even go out of existence. But land is imperishable. Thus it cannot go out of existence.

4. Land is a Primary Factor of Production

In any kind of production process, we have to start with land. For example, it helps to provide raw materials for industries and to produce crops.

5. Land is Immovable

It cannot be transported from one place to another. For instance, no portion of India's surface can be transported to some other country.

6. Land has some Original Indestructible Powers

There are some original and indestructible powers of land, which a man cannot destroy. Its fertility may be varied but it cannot be destroyed completely.

7. Land Differs in Fertility

Fertility of land differs on different pieces of land. One piece of land may produce more and the other may be less.

As a gift of nature, the initial supply price of land is zero. However, when used in production, it becomes scarce. Therefore, it fetches a price accordingly.

Labour

Labour is the human input into the production process. Alfred Marshall defines labour as, 'the use of body or mind, partly or

DO YOU KNOW?

Adamsmith is known as Father of Economics and his Economics is based on wealth. He wrote two classic works,"*The Theory of Moral sentiments(1759)*",and " *An Inquiry into the Nature and Causes of the Wealth of Nations* (1776)".

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